Public Competition Assessment

25 March 2009

Chinalco (Aluminium Corporation of China) - proposed acquisition of interests in Rio Tinto plc and Rio Tinto Ltd

Introduction

1. On 25 March 2009, the Australian Competition and Consumer Commission (**ACCC**) announced its decision not to oppose the proposed acquisition by Chinalco (Aluminium Corporation of China) of interests in Rio Tinto Limited and Rio Tinto plc (**Rio Tinto**) (**proposed acquisition**). The ACCC was of the view that the proposed acquisition would be unlikely to have the effect of substantially lessening competition in any relevant market in Australia in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).

2. The ACCC formed its view on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

The ACCC's role in assessing acquisitions by overseas corporations

3. Section 50 prohibits mergers and acquisitions that would be likely to have the effect of substantially lessening competition in a market in Australia. In many cases, merger reviews involve corporations that are incorporated or carry on business in Australia. However, s 50 also applies to acquisitions, such as the proposed acquisition, which involve an overseas corporation acquiring interests in the shares or assets of a corporation incorporated or carrying on business in Australia.

4. In assessing whether a merger or acquisition will contravene s 50 the ACCC may only have regard to matters that have an effect on competition. Section 50(3) of the Act sets out the factors that the ACCC must take into account in assessing the competition effects of a proposed acquisition. No other factor other than those that relate to competition may be considered.

5. The ACCC's role differs from that of the Foreign Investment Review Board (**FIRB**), which is also reviewing the proposed acquisition. The FIRB performs an advisory function in which it examines proposals by foreign interests such as Chinalco to undertake direct investment in Australia and makes recommendations

to the Government under its foreign investment policy, having regard to whether such proposals would be contrary to Australia's national interest. The ultimate responsibility for the Government's foreign investment policy and for making decisions on foreign investment proposals rests with the Treasurer.

6. The FIRB conducts this process pursuant to the *Foreign Acquisitions and Takeovers Act 1975*. A summary of the Australian Government's foreign investment policy can be found via the following link http://www.firb.gov.au/content/_downloads/General_Policy_Summary_April_2008.pdf

Public Competition Assessment

7. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:

   - a merger is opposed;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or
   - a merger is not opposed but raises important issues that the ACCC considers should be made public.

8. This Public Competition Assessment has been issued because the proposed acquisition is considered to raise issues of interest to the public.

9. By issuing Public Competition Assessments, the ACCC aims to provide the public with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the public to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

10. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

11. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Chinalco (Aluminium Corporation of China)

12. Chinalco is an international diversified mineral resources company and a large producer of primary aluminium and alumina. It is 100% owned by the Government of the People's Republic of China.

13. Chinalco's only existing interest in Australia is via a subsidiary company, Chalco, in which it has a 38.56% interest. Chalco has a mineral development licence to explore for bauxite at Aurukun on the Cape York peninsula in Queensland. Chalco is listed on the New York, Hong Kong and Shanghai Stock Exchanges.

The target: Rio Tinto

14. Rio Tinto is an international diversified mining group comprising Rio Tinto Ltd (listed on the Australian Stock Exchange) and Rio Tinto plc (listed on the London Stock Exchange). Rio Tinto has operations in numerous locations around the world, including a large presence in Australia.

The proposed transaction[1]

15. Rio Tinto announced on 12 February 2009 that its Board was unanimously recommending to shareholders a 'strategic partnership' with Chinalco. The proposed transaction involves Chinalco obtaining the ability to increase its shareholding in the Rio Tinto parent companies, acquiring economic interests in various assets of Rio Tinto, and entering into 'strategic alliances' with Rio Tinto in relation to those assets.

Share interest

16. Chinalco currently owns approximately 12% of the issued share capital of Rio Tinto plc, which represents approximately 9.33% of the aggregate publicly held share capital of Rio Tinto.

17. Under the proposed acquisition, Rio Tinto will issue convertible bonds to Chinalco which, on conversion, will give Chinalco up to 18.03% of the aggregate publicly held share capital of Rio Tinto.

18. Chinalco will also be offered two non-executive Board positions to complement the existing Rio Tinto Boards, of which one director will be required to be independent of Chinalco. Rio Tinto's Board currently comprises 15 directors.

[1] Details in this section are sourced from Rio Tinto, 'Rio Tinto announces pioneering strategic partnership with Chinalco' (Press Release, 12 February 2009).

Asset interests

19. Chinalco will acquire economic interests in some of Rio Tinto's bauxite, alumina, aluminium, copper and iron ore assets (the '**Strategic Alliance Assets**'), which are summarised in the following table:

Table #1 – Strategic Alliance Asset acquisitions

Asset/Entity[2]	Commodity	Rio Tinto's existing economic interest	Chinalco's proposed share of Rio Tinto's economic interest	Rio Tinto's resulting economic interest
Weipa bauxite mine (Qld, Australia)	Bauxite	100%	30%	70%
Yarwun alumina refinery (Qld, Australia)	Alumina	100%	50%	50%
Boyne Island aluminium smelter (Qld, Australia)	Aluminium	59.4%	49%	30%
Gladstone Power Station (Qld, Australia)	Aluminium	42.1%	49%	21.5%
Hamersley Iron (WA, Australia)	Iron Ore	100%	15%	85%
Rio Tinto Escondida (copper mine, Chile)	Copper	30%	49.75%	15%
Rio Tinto Indonesia Holdings Ltd (Grasberg copper-gold mine, Indonesia)	Copper	40%	30%	28%
La Granja copper development project (Peru)	Copper	100%	30%	70%
Kennecott Utah Copper (United States)	Copper	100%	25%	75%

[2] In some instances the acquisition is of an interest in the company holding the relevant asset.

'Strategic Alliances'

20. 'Strategic Alliance Committees' will be established for each of the aluminium, copper and iron ore Strategic Alliance Assets in which Chinalco is acquiring an interest. Chinalco will be entitled to appoint two out of six members to the iron ore Strategic Alliance Committee, and three out of six members to the aluminium and copper Strategic Alliance Committees. Rio Tinto will chair the Committees and hold a casting vote.

21. Chinalco will also have a right to be represented on the board of each relevant holding company for the Strategic Alliance Assets. Rio Tinto will have day-to-day management of the underlying assets.

22. The aluminium Strategic Alliance Committee proposes to establish a pro-rata jointly-owned bauxite marketing venture. The Alliance would market a proportion of Weipa-produced bauxite outside of Australia, after satisfying Rio Tinto's internal requirements.

23. Under the iron ore Alliance, Rio Tinto and Chinalco will establish a jointly-owned sales company which will market 30% of Hamersley Iron's iron ore output in China. All other marketing of iron ore will be carried out by Rio Tinto.

24. The parties also propose arrangements in relation to future exploration and development and secondments.

Timing

25. The following table outlines the timeline of key events in this matter:

Table #2 – ACCC indicative timeline

Date	Event
18-Feb-2009	ACCC commenced review under the Merger Review Process Guidelines.
05-Mar-2009	Closing date for submissions from interested parties.
25-Mar-2009	ACCC announced it would not oppose the proposed acquisition.

Market inquiries

26. The ACCC conducted market inquiries with interested parties, and had regard to submissions received in response to its invitation for submissions placed on the mergers public register on 19 February 2009.

Areas of focus

27. The ACCC noted the potential overlap between Rio Tinto's Australian bauxite and alumina operations, and Chinalco's interest, via subsidiary Chalco, in the potential development of a bauxite mine and alumina refinery (and associated infrastructure) in Australia. The ACCC also considered whether the proposed transaction would have competitive implications in relation to iron ore.

Market definition

28. The ACCC previously considered competition for the supply of bauxite, alumina and aluminium when it reviewed the Rio Tinto/Alcan Inc transaction in October 2007,[3] and competition for the supply of iron ore lump and fines in the BHP Billiton/Rio Tinto transaction in October 2008.[4]

29. In the Rio Tinto/Alcan Inc review it was considered that there were regional markets for the supply of bauxite, given the limits to substitution arising from high levels of vertical integration and the different chemical properties of bauxite from different locations. It was also considered that there were national markets for the supply of smelter grade alumina and primary aluminium.

30. In the BHP Billiton/Rio Tinto review, the ACCC accepted that national and global dimensions were relevant to the assessment of the likely effects of that proposed transaction, and considered the impact of the proposed acquisition on competition for:

- the global seaborne supply of iron ore lump;
- the global seaborne supply of iron ore fines;
- the national (Australian) supply of iron ore lump; and
- the national (Australian) supply of iron ore fines.[5]

31. The ACCC considers there was no reason to depart from these market definitions in the context of its assessment of Chinalco's proposed acquisition of interests in Rio Tinto.

Competition analysis

Bauxite and alumina

32. The ACCC took into consideration Chinalco's existing interest in Australia via its 38.56% stake in Chalco, which has a mineral development licence in respect of the Aurukun bauxite deposit on the Cape York peninsula in Queensland. Chalco is conducting a study to determine the feasibility of mining the deposit and the feasibility of constructing an alumina refinery at Bowen (also in Queensland).

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[3] http://www.accc.gov.au/content/item.phtml?itemId=803036&nodeId=664ca52c3b9c8ec4dd1b264cc6c64d7c&fn=Rio%20Tinto%20plc%20-%20proposed%20acquisition%20of%20Alcan%20Inc%20-%208%20November%202007%20-%20bauxite,%20alumina,%20aluminium,%20.pdf

[4] http://www.accc.gov.au/content/item.phtml?itemId=844626&nodeId=7c9647298cc13cbf422bd85316445250&fn=BHP%20Billiton%E2%80%94proposed%20acquisition%20of%20Rio%20Tinto%E2%80%941%20October%202008%E2%80%94mining.pdf.

[5] The ACCC maintains the distinction between iron ore lump and iron ore fines, but for the simplicity of the subsequent discussion refer only to 'iron ore.'

33. The ACCC also took into account the potential overlap between this interest and Rio Tinto's significant interests in the mining of bauxite and refining of alumina in Queensland. These include the Weipa bauxite mine and port operations (and associated undeveloped bauxite deposits) on the Cape York peninsula, the Yarwun alumina refinery at Gladstone, and an 80% interest in the Queensland Alumina Limited alumina refinery, also at Gladstone.

34. The ACCC considered the likelihood of Chalco constructing a bauxite mine and refinery in Queensland, and the ability and incentive of Chalco to supply bauxite and alumina to third parties in competition with Rio Tinto in the event such a mine and refinery was constructed. The ACCC considered that with or without the proposed acquisition, there would be limited incentives for Chalco to supply to third parties instead of to its own operations. Furthermore, in relation to bauxite, the ACCC considered that the chemical properties of the Aurukun bauxite may potentially limit its marketability to third party purchasers in any event.

35. The ACCC therefore considered that there was unlikely to be a substantial lessening of competition in both the markets for the supply of bauxite or alumina.

Iron ore

36. The ACCC also considered whether the proposed transaction, to the extent that it involved vertical integration between Rio Tinto and Chinalco, would be likely to affect iron ore prices by providing Chinalco with the ability and incentive to decrease iron ore prices below competitive levels to the benefit of Chinese steel mills.

37. In considering this possibility the ACCC identified a number of conditions and assumptions that would be necessary in order for a competition concern to arise. In particular:

    - that Rio Tinto has the unilateral ability to alter the global supply and demand balance for iron ore to such an extent as to have a significant effect on global iron ore prices;

    - that the proposed transaction will provide Chinalco with the ability to control or influence Rio Tinto to act in a way that favours Chinalco's interests over and above those of all Rio Tinto shareholders; and

    - that Chinalco, the Chinese Government, and Chinese purchasers of iron ore (i.e., Chinese steel mills) ought to be considered for the purposes of the competition assessment as a single entity.

38. The ACCC's consideration of the first point was informed by its extensive analysis of the supply and pricing of iron ore during its recent consideration of BHP Billiton's proposed acquisition of Rio Tinto. In the Public Competition Assessment for that matter, the ACCC noted that the vast majority of traded iron ore is supplied under long term contracts, and that pricing for that iron ore occurs by reference to global benchmark prices. Global benchmark prices for iron ore are determined by annual negotiations between the main global suppliers and the main steel makers and generally reflect a consensus as to the balance between supply and demand over the coming year. The first price settlement has traditionally formed a reference point for all iron ore supplied under contracts. The ACCC considered that even though a merger between BHP Billiton and Rio Tinto would reduce the number of suppliers participating in benchmark negotiations from three to two, iron ore prices would likely continue to be determined by the global supply and demand balance, and constraints imposed by other suppliers of iron ore, including emerging suppliers, would prevent the merger from substantially lessening competition.

39. For the purposes of the present matter, the ACCC considered that the ability of Rio Tinto to affect global iron ore prices would depend on its ability to affect the global supply and demand balance for iron ore. Therefore in order for Rio Tinto to depress significantly global iron ore prices, the ACCC considered Rio Tinto would need to bring forward expansions of iron ore production capacity and thereby increase the global supply of iron ore, resulting in lower prices for purchasers of iron ore and lower profits for iron ore producers (including Rio Tinto).

40. The ACCC also noted that for such a strategy to be worthwhile, the gain to Chinese steel mills from lower prices would have to offset the loss in Chinalco's profits as a shareholder in Rio Tinto, and imports of iron ore into China would have to significantly exceed Chinalco's equity interest in international iron ore production. The ACCC's analysis proceeded on the basis that this particular condition would likely be met.

41. The ACCC was ultimately of the view, however, that any change to global iron ore prices caused by unilateral capacity expansion decisions by Rio Tinto would most likely be very minor only and transitory in nature. In particular, the ACCC considered that other iron ore producers would be likely to react to a decision by Rio Tinto to increase capacity by delaying their own expansion projects, thus mitigating any price effects from increased supply. Further, the ACCC considered that Rio Tinto would have to continually bring forward expansion projects in order for it to maintain prices below competitive levels in the longer term, and that such a strategy would be unsustainable over time.

42. Having reached the conclusion that Rio Tinto would not have the ability to unilaterally influence global iron ore prices to a significant extent, the ACCC did not consider it necessary to reach a conclusive view on the remaining two points in paragraph 37.

43. As a general explanation, however, when the ACCC conducts merger reviews for the purposes of ascertaining whether a transaction is likely to raise concerns under section 50 of the Act, it considers a range of analytical scenarios, including taking a conservative approach to the consideration of the ownership and control arrangements between related entities. It was therefore a working assumption in the ACCC's competition analysis that Chinalco and various Chinese steel makers could be treated as subsidiaries of the same parent entity and therefore may have common commercial interests, although it was unnecessary to conclude on this point. The ACCC applies such an approach equally to the consideration of transactions involving private and/or public entities, including government owned or controlled entities. In doing so the ACCC aims to make a careful assessment of the possible scenarios in which a particular transaction may give rise to competition issues, and the likelihood of those scenarios occurring.

Conclusion

44. On the basis of the above, the ACCC formed the view that the proposed acquisition of interests in Rio Tinto by Chinalco would not be likely to result in a substantial lessening of competition in contravention of section 50 of the Act.